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VENTURE



Sequoia bets on silence

There is a time-honored crisis management strategy, wherein one says nothing and waits for the outrage to pass. For Sequoia Capital, the strategy worked pretty well this week. While partner Shaun Maguire initially weathered criticism over an inflammatory social media post, that initial indignation cooled quickly. Now, some seem to think that Maguire's defiant stance may even be strengthening his position. Business Insider actually called it "good for deal flow" — controversy as competitive advantage.

Sequoia's calculated gamble carries real risk, though. Another provocative post from Maguire that hits the wrong nerve, a shift in political winds, or escalating consequences could quickly transform their unflappable partner from an asset into a liability the firm can no longer afford to ignore.

A crisis communications professional who has managed reputation disasters for dozens of major brands tells this editor, "Firms like Sequoia are bulletproof until they aren't."

What happened

Sequoia's hands-off approach was put to the test earlier this week when the storied venture firm found itself in the eye of a storm over Maguire's comments about New York City mayoral candidate Zohran Mamdani. Maguire called him an "Islamist" who "comes from a culture that lies about

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everything” in a July 4th [tweet](#) on X that has since been viewed more than five million times. More than one thousand signatures have poured in regarding a [petition](#) demanding that Sequoia condemn the remarks, investigate Maguire’s conduct, and apologize.

There’s been a lot of talk about why Sequoia hasn’t done this, with many outlets noting that Maguire isn’t just any partner. This status owes partly to his friendship with Stripe co-founder Patrick Collison. According to reports, at a 2015 Founders Fund event, Maguire — then a Founders Fund-backed entrepreneur — defended Collison during an argument with Anduril’s Palmer Luckey about quantum computing, earning Collison’s admiration. The connection proved valuable when Maguire joined Google Ventures in 2016; he helped secure a \$20 million Stripe investment during his first week. When Maguire left Google Ventures in 2019, Collison personally recommended him to Sequoia’s partners. (Stripe has been in Sequoia’s portfolio since [2010](#), with the firm investing [more than \\$500 million](#) over 15 years.)

Maguire also led Sequoia’s investment in Bridge, a stablecoin platform that Stripe acquired for [\\$1.1 billion](#), and is reportedly Sequoia’s link to Elon Musk, though he’s hardly its only link. Musk and Sequoia’s global leader, Roelof Botha, are both native South Africans and have known each other for more than 25 years, dating back to their time together at the then-nascent PayPal, where Botha was recruited personally by Musk.

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Despite that long relationship, the two haven't always seen eye to eye. Botha was highly critical of Musk's management style when Musk was CEO of the merged X.com/PayPal company, where Botha was CFO. Botha [once told](#) veteran journalist Ebbe Dommissie, "I think it would have killed the company if Elon had stayed on as CEO for six more months. The mistakes Elon was making at the time were amplifying the risk of the business." But Musk was at odds with pretty much that entire crew at the time, and those tensions have long since [been resolved](#).

The bigger point here: When you're managing tens of billions of dollars in assets and your firm's reputation rests on backing winners like Google, Stripe, and Nvidia, you don't easily cast aside a rainmaker.

Meanwhile, Maguire's behavior suggests he's not backing down. After issuing a [30-minute video](#) on X last weekend in which he apologized for offending so many — saying he was making a point about a political ideology and not one about a religion — he has doubled down with increasingly aggressive posts this week. He claimed he has "reverse engineered" his critics' "command structure" and threatened to "embarrass" anyone who escalates against him. He [added](#) that this is him at "1%

throttle” and warned people not to “fuck w children of the internet.”

The silent treatment

Sequoia has precedent for its approach to this situation. The firm has historically given its partners space to express themselves publicly, with figures like [Doug Leone](#) and [Michael Moritz](#) (who [left the firm](#) in 2023) representing different political perspectives.

But there’s a crucial difference between political diversity and incendiary rhetoric and clearly to some, Maguire’s comments extend beyond partisan politics into territory that alienates both political opponents and potential business partners.

It’s also worth remembering that even for Sequoia, there is a bright line. Michael Goguen, another, earlier rainmaker with the firm, was promptly [shown the door](#) when Sequoia learned of a sexual abuse lawsuit filed against him. The situations aren’t exactly comparable; Goguen’s issues were legal and personal, not ideological. At the same time, Sequoia has shown it isn’t willing to circle the wagons at any cost, not if its reputation is at stake.

Presumably, several factors inform Sequoia’s do-nothing PR strategy, including how quickly people, faced with a constant flurry of news, move on from a scandal. The firm is also operating in a different political landscape right now in the U.S. Along with Donald Trump’s victory and the rollback of DEI initiatives has come new tolerance for controversial speech. What might have been career-ending at an earlier point in time is now weathered more easily.

Beyond the shifting political winds, the firm is likely banking on the fact that while founders want

partners who fit the traditional, more genteel VC mold, they want successful ones even more. Startups being courted by multiple top-tier firms might not like or agree with Maguire, but when Sequoia comes calling with its track record and almost bottomless pockets, most founders are going to welcome the firm with open arms.

Of course, there's the very real possibility, too, that Sequoia is working on a contingency plan. (Sequoia declined to comment on Maguire's posts when reached by TechCrunch earlier this week.)

Still, Sequoia's silence carries risks. Not all the signers have been confirmed, but the petition against Maguire includes the names of some prominent Middle Eastern executives and founders who have attested to signing it, and they represent the kind of diverse, global talent pool on which Sequoia's future depends. By not addressing the controversy, Sequoia risks being seen as tacitly endorsing Maguire's views.

Put another way, though the venture capital world has historically been remarkably forgiving of [controversial figures](#) with exceptional deal flow, the firm is gambling with its reputation in an increasingly connected global market where alienating entire regions and communities carries real business consequences.

Whether that bet pays off will depend on how long the controversy lingers, how much business it actually costs Sequoia, and whether Maguire can resist the urge to push things past Sequoia's own tolerance threshold. (He has said he doesn't post anything that hasn't been "[excruciatingly thought out](#).")

History suggests that established financial firms with strong track records tend to outlive their scandals, even serious ones. When Apollo Global

Management’s Leon Black [resigned in 2021](#) over his \$158 million payments to Jeffrey Epstein, the firm’s stock barely moved and shareholders seemed largely unfazed. Apollo just continued its aggressive deal-making under new leadership.

Similarly, Kleiner Perkins survived Ellen Pao’s high-profile [gender discrimination](#) lawsuit in 2015. But it took years and essentially an [entirely new team](#) for the venture firm to regain its footing in Silicon Valley’s hierarchy. The lesson here may be that while controversial partners can be endured, the recovery timelines can vary significantly depending on how firms handle the crisis.

For now, the crisis communications professional, who asked not to be named, has some advice for Maguire and, by extension, Sequoia. Regarding the video Maguire published in the aftermath of his initial comments, the expert said, “I did think that apology addressed the ambiguities in [Maguire’s] post. But it’s a 30-minute video — you have to be *really* interested to watch this.”

If there’s a next time, the professional said, Maguire should “do two videos — one for three minutes” and another, longer video, for anyone who wants to keep watching.

Sometimes, the expert added, “less is more.”

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Sequoia's Doug Leone steps down, making way for new global head Roelof Botha

Natasha Mascarenhas, Connie Loizos

11:06 AM PDT · April 4, 2022

Storied venture capital firm Sequoia Capital [announced today](#) that leader Doug Leone would be stepping aside from his role as “Senior Steward” to be replaced by Roelof Botha, managing partner of Sequoia’s U.S. and Europe operations.

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Leone, the global managing partner of Sequoia Capital, wrote in a letter published on Twitter that he will remain a general partner in existing funds and will represent Sequoia on boards of directors.

“The spirit of growth and renewal drives our culture of generational transfer,” Leone wrote. “We are proud to be the only venture capital partnership to have successfully navigated multiple leadership

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head of the firm working under Leone. Botha then also became a “Sequoia Steward,” which he previously described as having “more responsibility for strategy, for team composition, for fundraising — including spending more time with limited partners and helping decide when do we raise, the size of the funds, the composition of our LP base.”



Roelof Botha shares what Sequoia's Black Swan memo got wrong



In March, famed investment firm Sequoia Capital published the Black Swan Memo, warning founders about the potential business consequences of the coronavirus, which had not yet been labeled a pandemic. “It will take considerable time — perhaps several quarters — before we can be confident that the virus has been contained. It will take even ... [Continue reading](#)

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“Senior Steward” is a double click on that role, representing more of a global leadership role than he previously held. Botha has led investments in numerous startups that have gone on to become enormous brands, including YouTube, 23andMe, MongoDB, Natera, Square and Unity.

Certainly, Botha will be facing new opportunities, as well as new challenges, as Sequoia extends its already outsized footprint.

Sequoia has been investing far more actively in Europe in recent years, opening a regional office — in London — for the first time in its history [last year](#). In addition to Klarna and Getir, others of its Europe-based bets include Veed, an online video editing tool and Upway, a Paris-based platform for secondhand purchases like bikes and electronics.

It has been plugging hundreds of millions of dollars into India and Southeast Asia-based startups, as readers of TechCrunch have undoubtedly noticed.

It has also begun investing in countries where it hasn't appeared in deals before, as evidenced by a recent bet on Telda, a Cairo-based payment and money platform, and Wave, a U.S. and Senegal-based mobile money provider that raised [\\$200 million](#) in Series A funding last fall co-led by Sequoia.

In the meantime, the firm has an enormous financial stake in China, where under the leadership of Sequoia Capital China founder Neil Shen, it runs one of the country's most powerful venture practices.

Leone was very much involved with Sequoia's decision not just to head to China 17 years ago, but to stay there. (Other U.S. firms that dipped their toe in the region around the same time left.)

It proved lucrative for the outfit, whose China practice has been enormously successful over the years (and where more than half of Sequoia's dollars were being invested back in 2018, as Leone [told us at Disrupt](#)). At the same time, funding regional startups has been made increasingly complicated by the government's regulatory crackdown, as well as China's support of Russia, against which nearly all the world has turned following its brutal invasion of Ukraine.

The unfolding events will give Botha, who grew up in South Africa, plenty to sort out in his new global role.

In the meantime, we'd expect Leone to stay somewhat active with the firm, even beyond maintaining his board seats. (His predecessor, Don Valentine, famously showed up for Monday partner meetings for a decade after he "stepped down" from his role.)

Certainly, he has seemed to relish advising founders too much to retire from it entirely.

Indeed, when we talked with Leone at that Disrupt show in 2018, we asked him how he would advise founders who, like himself — an Italian immigrant who pulled himself up by his bootstraps — want to succeed in business.

Said Leone: Start a company only if you "have a burning need, if you can't go to sleep at night because you want to do something, if you happen to have some domain expertise [and] if you happen to be a great customer. So many of our great companies were founded where the founder was the customer. What the founder didn't know, though, was that he or she was the proxy for the next billion people."

Do not "start a company because you're a little bored and you think it's cool to start a company," he added.

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— Sequoia Capital (@sequoia) [April 4, 2022](#)

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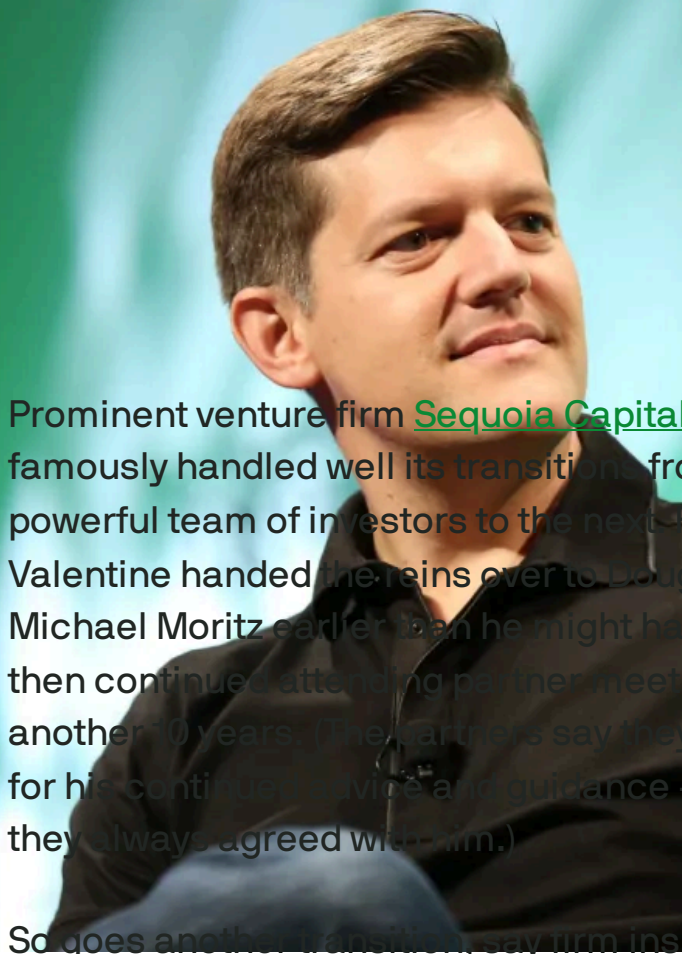
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Sequoia Capital has quietly announced a leadership change-up,

with partner Jim Goetz taking a step back

Connie Loizos — 4:35 PM PST · January 31, 2017



Prominent venture firm [Sequoia Capital](#) has famously handled well its transitions from one powerful team of investors to the next. Founder Don Valentine handed the reins over to Doug Leone and Michael Moritz earlier than he might have planned, then continued attending partner meetings for another 10 years. (The partners say they were happy for his continued advice and guidance — not that they always agreed with him.)

So goes another transition, say firm insiders, as longtime partner Jim Goetz dials back on some of his management responsibilities at the firm and leaves Sequoia's U.S. operations in the hands of partner Roelof Botha.

Botha has actually been running the U.S. business with Goetz for the last 10 years, but he now becomes what the firm calls a "Sequoia Steward," too. What this means in Sequoia parlance: Botha will take over "more responsibility for strategy, for team composition, for fundraising — including spending more time with limited partners and helping decide when do we raise, the size of the funds, the composition of our LP base," he says.

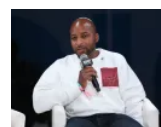
Botha adds with a laugh, "Being a team lead does *not* mean you get paid more."

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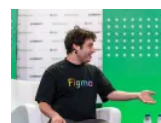


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Though a subtle move, it does suggest that Goetz — whose note to Sequoia’s investors you can find below — will not be actively investing out of Sequoia’s next U.S.-focused fund. Indeed, while Botha says he expects that Goetz will “continue to make several investments in the next few years,” Goetz himself told investors today that he plans to reduce his work load so he can start saying “‘yes’ to some of the other aspects of my life that have been on hold over the past twenty years.”

Certainly, with deals like WhatsApp under his belt, Goetz has little left to prove. (We wrote about his track record [here](#).)

As for whether there was some other impetus for Goetz’s decision, Botha says simply that Goetz, like Valentine before him, thinks that many VCs just wait too long. “They cling to power and in doing so, sow the seeds of their firm’s eventual decline.” Sequoia has meanwhile “always embraced change both inside and outside the firm.”

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Botha reiterates that dialing back does not mean disappearing, pointing to Moritz, who [stepped away](#) from the firm for health reasons in 2012 but who has continued to join boards on behalf of Sequoia, including those of [Stripe](#), [Instacart](#), [Klarna](#) and [Flipagram](#). Indeed, it was when Moritz took a leave that Goetz was made a “steward” in the first place.

Asked whether Sequoia is preparing to raise another U.S.-oriented fund — the likeliest reason for Goetz to ease himself out of his day-to-day activities at the firm — Botha declined to comment on the prospect, but we’d guess it’s either about to tap its LPs for a new fund or it will in the not-too-distant future. Its peers in the venture world are now raising new funds roughly every two years, and Sequoia closed its most recent U.S.-focused fund in 2015.

Either way, Botha, 43, won’t be working alone suddenly. Instead, he’s getting a new U.S. co-lead in 44-year-old Alfred Lin. Both will be working under Leone, who oversees the firm’s global operations with Neil Shen, the founder and managing partner of Sequoia Capital China.

Here’s Goetz’s letter to Sequoia’s investors, with one sentence regarding internal changes redacted:

Disruption is at the heart of our business. It’s what creates opportunities for Sequoia entrepreneurs, and it’s what helps them produce extraordinary returns for our LPs. Ironically, it’s also the force that many venture capital firms resist, often contributing to their own decline.

Sequoia is the exception.

Over the past 45 years, starting with Don Valentine, Sequoia has embraced change as much within our partnership as outside it. That willingness to renew and reinvent – often by empowering the less

experienced among us – has been the foundation of our success. I am deeply indebted to Doug and Sir Michael for the trust they placed in me, first as a Sequoia-backed entrepreneur, later as co-lead of the venture business, and more recently as a Sequoia Steward. Implicit in that arc is an obligation to pay it forward to the next generation. That time has come.

During the coming week I plan to step aside from my leadership responsibilities. I do so with great confidence in this next generation of leaders. They represent a gifted cohort who bleed Sequoia, and their fresh ideas will spur the next wave of reinvention. More to come on these well-deserved changes from Doug.

To ensure a smooth transition and encourage change, I am going to decamp from the Menlo office for a few months. I will remain a GP in existing funds and continue to represent Sequoia on boards. When I return, I intend to sponsor new investments but I plan to reduce my workload, so that I can start saying “yes” to some of the other aspects of my life that have been on hold over the past twenty years.

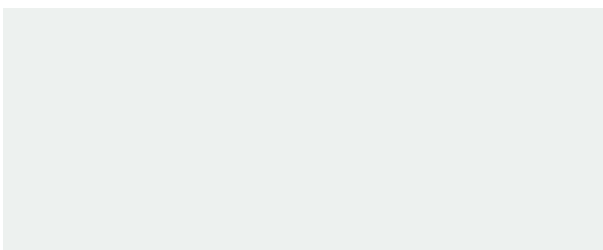
Forever grateful.

JJG

Pictured above: Roelof Botha

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